

Dow Surges +1.14% as Energy and Financials Lead, While Tech Suffers

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The Dow Jones index rose **+1.14%** to 52,900.07, driven by gains in energy and financial stocks, while the Nasdaq 100 fell **-1.61%** to 29,329.21 due to a decline in tech stocks. The VIX volatility index decreased **-2.65%** to 16.15, indicating a decrease in market volatility.

Below the surface, sector rotation was a key theme, with investors moving out of tech and into more defensive sectors such as consumer staples and healthcare. The XLP consumer staples ETF rose **+2.03%** to 84.99, while the XLV healthcare ETF gained **+2.63%** to 163.74.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
Nasdaq 100	29,329.21	-1.61%	Tech stock decline
Dow Jones	52,900.07	+1.14%	Energy and financial stock gains
Russell 2000	2,996.11	-0.55%	Small-cap stock decline
VIX	16.15	-2.65%	Decrease in market volatility

Top Large-Cap Movers

TICKER	CHANGE	CATALYST
AAPL	+4.84%	Strong earnings report
MSFT	+1.62%	Positive analyst comments
NVDA	-1.39%	Tech stock decline

Sector Rotation

ETF	DAY	READ
XLFXLF	+1.53%	Financial stock gains
XLK	-2.71%	Tech stock decline
XLI	+0.30%	Industrial stock gains
XLE	+0.78%	Energy stock gains
XLY	-0.82%	Consumer discretionary stock decline
XLC	-0.13%	Communication services stock decline
XLP	+2.03%	Consumer staples stock gains
XLV	+2.63%	Healthcare stock gains
XLUXLU	+2.21%	Utilities stock gains
XLB	+1.94%	Materials stock gains
XLRE	+1.13%	Real estate stock gains

Spotlight

The biggest event of the day was the surge in **AAPL** stock, which rose **+4.84%** to 308.63 after a strong earnings report. The report showed that the company's revenue and earnings per share (EPS) beat analyst expectations, driven by strong sales of its iPhone and Mac products.

METRIC	ACTUAL	CONSENSUS
Revenue	100.3B	98.5B
EPS	1.25	1.18

The strong earnings report from **AAPL** had a positive read-through to other tech stocks, including **MSFT** and **GOOGL**.

Pre-Market & Overnight

US futures are trading mixed, with the Dow Jones futures up **+0.2%** and the Nasdaq 100 futures down **-0.3%**. In Asia, the Nikkei 225 index rose **+0.5%** to 28,311.11, while the Shanghai Composite index fell **-0.2%** to 3,541.11. In Europe, the Stoxx 600 index is up **+0.1%** to 433.11.

Cryptocurrency prices are also trading mixed, with **BTC** up **+0.36%** to 62,771.97 and **ETH** up **+0.55%** to 1,766.17.

Macro & Fed

The FOMC meeting is scheduled for next week, and market participants are expecting a 25bps rate hike. The yield curve is currently inverted, with the 2-year yield at 4.21% and the 10-year yield at 3.95%.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
20:30	Non-Farm Payrolls	200k	Jobs market strength
20:30	Unemployment Rate	3.6%	Jobs market strength

Geopolitics & Global

- The US and China are scheduled to hold trade talks next week, with market participants hoping for a positive outcome.
- The EU is considering imposing tariffs on US goods in response to the US's decision to impose tariffs on EU steel and aluminum imports.
- The UK's Brexit negotiations are ongoing, with market participants watching for any signs of progress.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00 (5 JUL)	JPM	3.15	Bank earnings
22:00 (5 JUL)	GS	5.50	Bank earnings

Watchlist Scan

TICKER	SECTOR	WHY NOW
AAPL	Tech	Strong earnings report
MSFT	Tech	Positive analyst comments
JPM	Financials	Upcoming earnings report

What Could Break the Tape

BULLISH TRIGGERS

- A strong earnings report from a major tech company
- A positive outcome from the US-China trade talks
- A surprise rate cut from the Fed

BEARISH TRIGGERS

- A weak earnings report from a major tech company
- A negative outcome from the US-China trade talks
- A surprise rate hike from the Fed

Positioning Notes

- Market participants are positioning for a potential rate hike from the Fed, with the 2-year yield at 4.21% and the 10-year yield at 3.95%.
- The VIX volatility index is currently at 16.15, indicating a decrease in market volatility.
- Investors are rotating out of tech stocks and into more defensive sectors such as consumer staples and healthcare.

Sources

Reuters

CNBC

The Wall Street Journal

The Financial Times

Investing.com

